

INTRODUCTION TO THIS COURSE

Chapter 1



WHEN RATINGS ARE WRONG...

Before its collapse on September 15, 2008, Lehman Brothers held a high investment-grade rating of "A" from Standard & Poor's and similar levels (A1/A2) from Moody's and Fitch.

Standard & Poor's Maintained an "A" long-term credit rating on the firm until the very end. S&P later defended its position by arguing that Lehman's sudden demise was driven by a rapid, unprecedented collapse in market confidence rather than quantifiable economic fundamentals.

WHEN ANALYSTS (12-MONTH) TARGETS ARE SO DIFFERENT...(we are not all the same!)

From the website of:

Investing.com

on September 2, 2026

Space Exploration Technologies Corp (SPCX)

NASDAQ Currency in USD

142.23 -1.46 (-1.02%) ▼

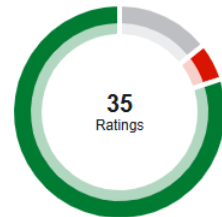
Closed - 01/09

SpaceX (SPCX) Stock Forecast & Price Target ①

Advanced Equity Forecast ②

Overall Consensus

Buy



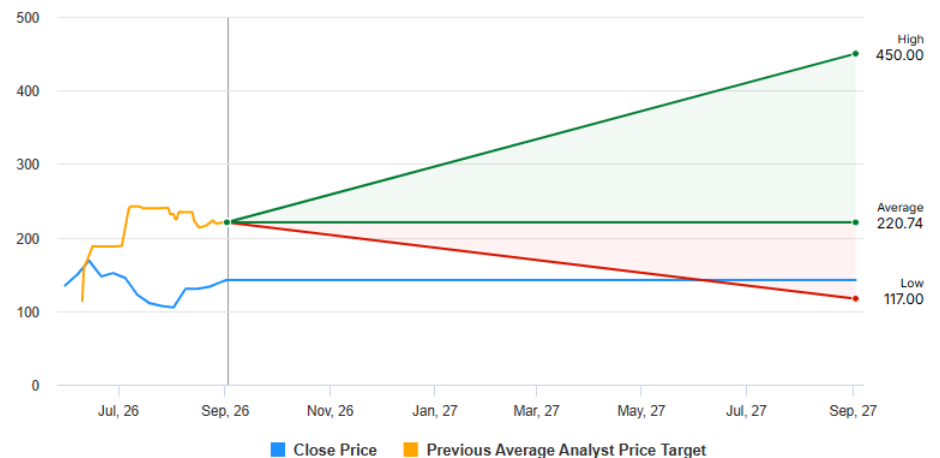
Data based on a poll of the past 3 months

Analysts 12-Month Price Target

Average 220.74 (+55.20% Upside)

Past 24 Months

12-Month Forecast



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Financial Statement Analysis:

- Objectives
- The final decision: a decision-making approach to FSA
- Reputation of accountants, auditors, analysts and rating agencies....
- A framework for FSA

The Course:

- Timetable (tentative with assignment kick-off)
- Prerequisites and Teaching Materials
- Attendant students and exam
- Non-Attendant students and exam
- Detailed instructions for the final exam (TBD)

LET'S TEST THE ATTENDANCE PROCEDURE: [you@B app](#)

1. Learn how to analyze financial statements
2. Critically evaluate corporate disclosures and related information

Analysis of financial statement interpretation issues from the **perspective of professional analysts in an international context.**

The four “families” of financial analysts:

1. industry and competitor analysis,
2. credit analysis,
3. equity analysis, and
4. (fraud) audit analysis.

Focus on real-world companies.

Use of Generative AI tools: design, prompt, and iterate on a Generative AI assistant to support an end-to-end FSA workflow, while retaining full accountability for the output

Which is the final decision of a professional analyst? What kind of “judgment” can we expect? Basically, an analyst use FSA to support two kinds of evaluations:

1. an assessment of **financial plans**, and
 2. an assessment of **top management**.
-

1. Financial plans - Financial statement analysis is a tool for making complex investment (strategic/equity) and credit decisions. Specifically, it is used to evaluate the **reasonableness and adequacy of forecasted “sustainable” (“recurring”) cash flows**:

- Future cash flows from strategic decisions (value of Strategy)
- Future cash flows from extending credit (value of Credit Capacity, for lenders): Interest income and return of principal (reimbursements)
- Future cash flows from equity investments (value of Equity, for shareholders) – Dividends and proceeds from stock sales
- Relationship between net income and cash profitability to detect earnings management or fraudulent reporting, audit of the going concern assumption (for Auditing and Fraud Investigations)

Consequently, analysts must focus their attention to the **coherence between historical data (and performance) and financial forecasts**: the FSA applied to historical data is just the necessary condition for an assessment of business plans (and related financial forecasts).

Because “**future is uncertain**” a professional analyst has to understand risks, manage uncertainty and master some fundamental techniques like **sensitivity analysis, scenario analysis, Monte Carlo simulations etc.**

2. Management - Financial statement analysis may be the basis for a **manager's performance** appraisal (managers' compensation may be a function of the this appraisal....). It's important to understand which elements of performance are within or beyond managers' control.

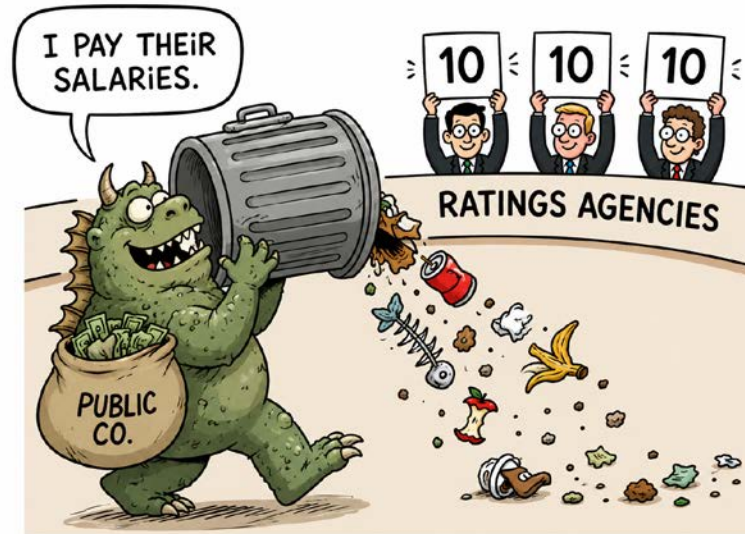
How do you evaluate managerial skills, reliability, integrity, credibility, vision, etc.?

For a professional analyst there are **three fundamental questions**:

1. do managers convince us about your plans?
 2. can we believe in their financial forecasts? (considering the historical performance)
 3. does the Governance system mitigate the main risks? (strategic and operational risk, financial reporting risks and compliance risks)
-

Finally, a professional analyst evaluates the historical performance and the reasonableness of financial plans in order to make a final decision about both:

1. the “quality” of Future Cash Flows Projections, and
2. the “quality” of Management.





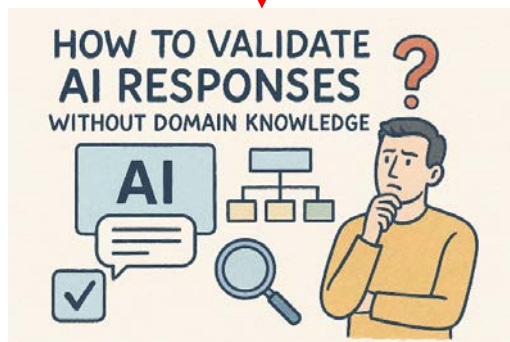
Answer 1:
A good Manager
/ Analyst!

OR.....

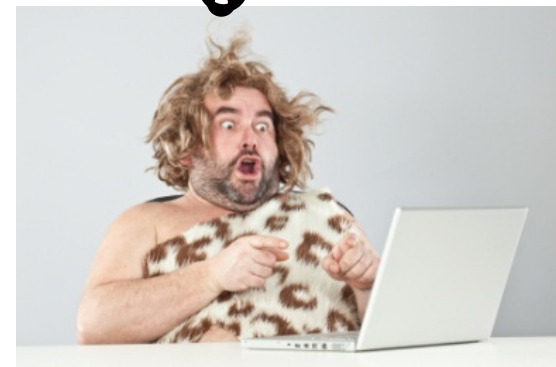
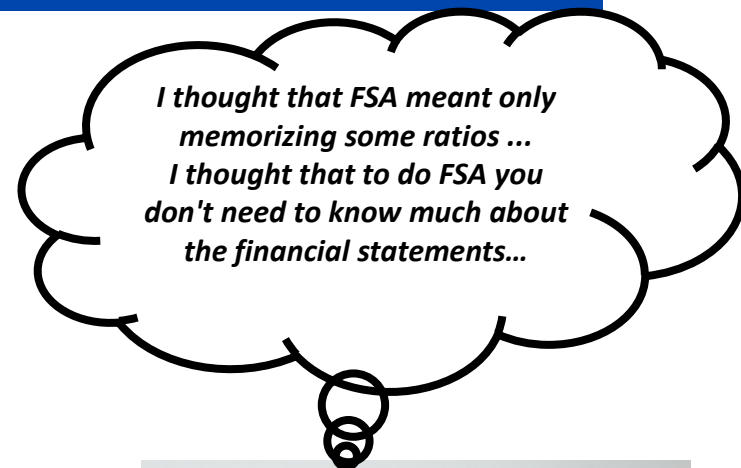
Answer 2:
A “modern”
Caveman?



**A NEW
CHALLENGE!**



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The «Objectives»

1. COMPETITOR (STRATEGIC) ANALYSIS
2. CREDIT ANALYSIS
3. EQUITY ANALYSIS
4. FRAUD / AUDIT ANALYSIS

The «Object»

1. FINANCIAL STATEMENTS

- Income Statement, Balance Sheet, Cash Flow Statement and Statement of Shareholders' Equity
- Notes to the Financial Statement

2. OTHER INFORMATION SOURCES

- Other Corporate Disclosure (ex. Presentation to Analysts, Press Releases etc.)
- Newspapers and Specialized magazines
- Computerized Database
- Internet, etc.

The «Techniques»

1. 4 ANALYSIS DIMENSIONS: Liquidity (short-term solvency), Capital Structure (long-term solidity), Profitability, Growth
2. REFORMULATIONS OF I/S, B/S AND C/F
3. COMMON-SIZE ANALYSIS FOR REFORMULATED I/S AND B/S
4. TREND ANALYSIS (graphs, variation rates, index numbers, CAGR, etc.)
5. RATIOS
6. ANALYSIS WORKFLOW

«Complexity/Risk» factors

1. Applied Accounting Standards (IFRS vs. Local GAAP; industry-specific accounting standards; accounting laws vs. best practices)
2. Group of companies (composition, evolution, M&A etc.)
3. Industries vs. Segments vs. Business Units
4. Geographical areas (macroeconomics, foreign currencies, inflation, commercial law and tax rules)
5. Accounting frauds are part of normal managerial practices....

The «Final Decision»

1. Evaluate the “value” of company (value of: strategy, debts, shares, governance): judge the quality and reliability of future cash flows predictions
2. Evaluate the management's performance (skills, past results, reliability, integrity, credibility, vision, business plan assumptions etc.)



1. Advanced Techniques for FSA:

- Income Statement: reformulation choices, core vs. non-core operating income, unusual items, operating income and EBITDA.
- Balance Sheet: reformulation options, ratios, and alternative measures of financial indebtedness.
- ROI and ROE ratios; profitability analysis, financial leverage and operating liabilities leverage;
- Cash Flow Statement: reformulations and ratios

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Adjunct Professor

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2. Advanced Applications of FSA:

- Non-GAAP Earnings
- The influence of different accounting principles
- Accounting Quality Analysis and 'red flags'
- Forecasting financial statements and operating performance.
- Valuation: theory and practice applied to FSA.
- FSA from the auditor's perspective.

Pietro Andrea Bianchi
Fedrigoni

Associate Professor

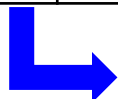
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Prerequisites: To feel comfortable in this course, you should be familiar with **financial accounting and financial statement analysis (basic), corporate finance and business valuation (basic).**

No.	Date	Day	Time	Room	Topics	Chapters	Group Tasks
1	3-Sep	Thu	16.30 - 18.00	B	Introduction to Financial Statements Analysis (FSA)	1	
2	4-Sep	Fri	12.00 - 13.30	25	Analysis of Income Statement. Reformulation choices: Core EBIT and Unusual Items	2	
3	10-Sep	Thu	16.30 - 18.00	RB01	(cont.) focus on Operating Income and EBITDA (and alternative metrics)	3	
4	11-Sep	Fri	12.00 - 13.30	25	Analysis of Balance Sheet: Managerial format	4-5	1 st short assignment with AI
5	17-Sep	Thu	16.30 - 18.00	RB01	The ratios system: analysis of ROI (return on investment)	6	
6	18-Sep	Fri	16.30 - 18.00	22	The ratios system: analysis of ROE (return on equity)	7	
7	24-Sep	Thu	16.30 - 18.00	RB01	The Cash Flow Statement: Purpose, Structure and Preparation. Exercise (Cannon)	8	
8	25-Sep	Fri	12.00 - 13.30	25	Analysis of the Cash Flow. From the "Standard CFS" (IAS 7 and IFRS 18) to the "Reformulated CFS"	9-10	
9	1-Oct	Thu	16.30 - 18.00	RB01	(cont.) Comprehensive Exercise (Mannix Intl.)	-	
10	2-Oct	Fri	12.00 - 13.30	25	(cont.) Ratios Analysis and Charts	10	2 nd short assignment with AI
11	8-Oct	Thu	16.30 - 18.00	RB01	(cont.) Creative Cash Flow Reporting	11	
12	9-Oct	Fri	12.00 - 13.30	25	Industry Analysis: from Accounting Ratios to KPIs	12	
13	16-Oct	Fri	08.30 - 10.00	24	Non-GAAP Earnings: The Manager's Perspective: Why Firms Report Non-GAAP	13	
14	16-Oct	Fri	12.00 - 13.30	25	(cont.) The Investor/Analyst Perspective: Street Earnings		
15	5-Nov	Thu	16.30 - 18.00	RB01	(cont.) In-class lab		1 st Assignment for in-class discussion
16	6-Nov	Fri	12.00 - 13.30	25	Accounting for Intangibles: Decoding Value	14	
17	12-Nov	Thu	16.30 - 18.00	RB01	(cont.) The Influence of Different Accounting Principles	15	
18	13-Nov	Fri	12.00 - 13.30	25	Accounting Quality Analysis: Accounting for (Dis)Value		
19	19-Nov	Thu	16.30 - 18.00	RB01	(cont.) How to identify the "red flags" through FSA	16	
20	20-Nov	Fri	12.00 - 13.30	25	Forecasting	17-18	
21	26-Nov	Thu	16.30 - 18.00	RB01	(cont.) HBS Case (tbd)		2 nd Assignment for in-class discussion
22	27-Nov	Fri	12.00 - 13.30	25	Valuation: Theory and Practice	17-18	
23	3-Dec	Thu	16.30 - 18.00	RB01	(cont.) HBS Case (tbd)		3 rd Assignment for in-class discussion
24	4-Dec	Fri	12.00 - 13.30	25	Financial Statement Analysis: conclusions and the AI use		

**Rooms:**

- 22-24-25, Floor 2nd, Sarfatti 25
- RB01, Floor mezzanine, Bocconi 12



Main methods are lectures, practical exercises, case discussions, group project.

We adopt a **continuous assessment approach**: lectures and in-class exercises introduce the core techniques; group activities translate those techniques into real-world deliverables.

Group composition:

- The educational and operational goal is for each group to function as **a team of analysts**
- **Group: 5 to 6 students (deadline: Sept. 9)**
 - send an email to nicola.pecchiari@unibocconi.it with: ID and name of the group participants
 - if you do not know other students and would like to join a group, please send an email to nicola.pecchiari@unibocconi.it
- A good team should be able to appoint a leader to whom they can delegate class participation and presentation of their findings. **Attendance is not required for all group members: at least one group member is required to be present at each session, even on a rotating basis.**

GROUP ACTIVITIES

1. Group Project:

- a) **AI-supported FSA of a public company** (use of a working AI assistant designed to support the FSA process and reporting).
- b) **Video updates on the group project** (short video updates summarizing project progress, methodological choices, and open questions; videos are used by the instructors to provide structured feedback during the course and to monitor the iterative development of both the AI agent and the analysis).

2. 2 Group assignments on specific topics using AI (short structured assignments)

3. 3 In-class Case discussions led by groups.



ATTENDING STUDENTS

- **Group works and activities: 70%** of the final grade. This component includes:
 - 50% - the group project (AI assistant + FSA report + Periodic Video Tapes),
 - 10% - 2 group short assignments using AI,
 - 10% - 3 group-led case discussions.
- **Individual written exam: 30%** of the final grade. The exam is written and covers the technical content of the course (reformulations, ratios and cash flow statement; topics of the first 12 sessions). It combines short exercises, multiple-choice questions, and matching questions, and lasts approximately **45 minutes**.
- The **final grade** will be calculated by averaging the grades for all the 'Group Activities' and the written exam: when the final (combined) grade is greater than or equal to 18, the exam will be considered passed (even if the written exam grade is lower than 18: 0 to 17).

NOT ATTENDING STUDENTS

- Not attending students are assessed exclusively through a final **individual written exam**, which represents **100%** of the final grade.
- The comprehensive final exam covers all the sessions and all the materials indicated in the syllabus and lasts approximately **1 hour and 15 minutes**; it is divided into the parts:
 1. Part I - identical to the exam for attending students (topics of the first 12 sessions)
 2. Part II – with reference to sessions 13 to 24

Written exam: Details about the structure of the written exam will be announced in a few weeks.

Anyway, **all questions will be based on the contents and exercises in the book.**

At the final written exam, you can withdraw at any time before the end of the test

Starting for the current academic year, it is **mandatory** to study the following coursebook:

N. Pecchiari, P. A. Bianchi Fedrigoni,
Financial Statement Analysis,
EGEA ('Pellicano' coursebooks), 2026, 495
pages.

The coursebook, specifically written for this course, is only available at the EGEA bookstore (Viale Bligny 22).

The coursebook include exercises at the end of each chapter. Solution of the exercises will be available for free on the course website.

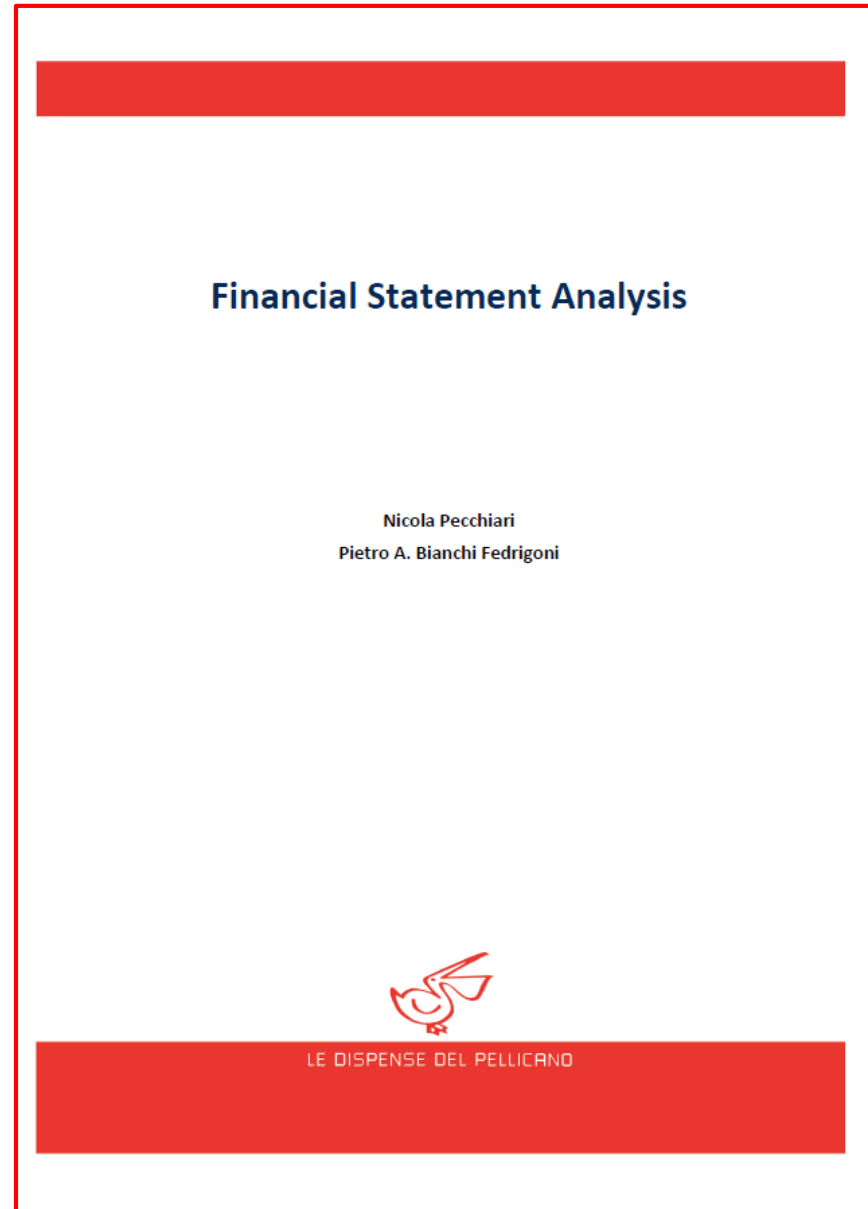
Other materials

(<https://blackboard.unibocconi.it>):

- Slides
- Case studies
- Supplemental exercises
- Supplemental Readings



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Part I

- Chapter 1** A Framework for Financial Statement Analysis
 - Chapter 2** Reformulating the Income Statement: Core Operating Income, Non-Core Operating Income, and Unusual Item
 - Chapter 3** Analysing the Operating Income: Three Reformulations of the Operating Cost Structure
 - Chapter 4** Reformulating the Balance Sheet: From the “Liquidity” Format to the “Managerial” Format
 - Chapter 5** The Managerial Balance Sheet in Depth: Reformulation Options, Net Financial Position, and Structural Ratios
 - Chapter 6** Return on Investment: Measuring the Profitability of Operations
 - Chapter 7** Return on Equity and Its Decompositions: DuPont, Modigliani-Miller, Penman, and the Bridge to EVA
 - Chapter 8** The Statement of Cash Flows: Purpose, Structure, and Preparation
 - Chapter 9** The Statement of Cash Flows under IAS 7
 - Chapter 10** Reformulating and Analysing the Cash Flow Statement
 - Chapter 11** Creative Cash Flow Reporting: Detecting Manipulation and Measuring Sustainable Operating Cash Flow
 - Chapter 12** Strategic Business Analysis, Business Models, and Key Performance Indicators
-

Part II

- Chapter 13** Non-GAAP Measures and Street Earnings: Adjusted Performance, Analyst Definitions, and the Quality of Exclusions
- Chapter 14** Accounting for Intangible Assets: Recognition, Measurement, and Analytical Consequences
- Chapter 15** The Influence of Accounting Standards on Financial Statement Analysis
- Chapter 16** Accounting for (Dis)Value. Misreporting, Fraud, and the Institutions of Reporting Quality
- Chapter 17** Forecasting Financial Statements and Firm Valuation: From Pro Forma Statements to Value per Share
- Chapter 18** Monte Carlo Simulation for Discounted Cash Flow Valuation: From a Point Estimate of Value to a Distribution of Values

